



MEMORANDUM

TO: Honorable Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: February 28, 2022
SUBJECT: Resolution to Uncommit General Fund Reserves

On March 14, 2022, the Governing Body will be referring a resolution to the Finance Committee for consideration to uncommit \$329,630 in General Fund Reserves for the purchase of the former Hitching Post.

On July 22, 2019, the Governing Body voted to approve the Land Purchase and Sale Agreement between the City of Cheyenne and Victory Real Estate Management LLC regarding Lot 1, Block 1, P.A.S. Subdivision, City of Cheyenne, Laramie County, Wyoming for economic development purposes and committed the use of \$329,630 in General Fund reserves to do so.

In governmental accounting, any formal action of the Governing Body to commit the use of reserves requires the same formal action to remove the commitment. Once this resolution is approved, this action will add 2.14 days of operating reserves to General Fund reserves.

As always, if you have any questions, please give me a call at 637-6336 or email at rlockman@cheyennecity.org.

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION UNCOMMITTING \$329,630.00 IN GENERAL FUND RESERVES APPROVED TO BE USED FOR THE PURCHASE OF THE FORMER HITCHING POST, LOT 1, BLOCK 1, P.A.S. SUBDIVISION BY THE CITY OF CHEYENNE GOVERING BODY ON JULY 22, 2019”

WHEREAS, the City of Cheyenne is required to follow the Governmental Accounting Standards Board (GASB) Statement 54, *Fund Balance Reporting and Governmental Fund Type Definitions*; and

WHEREAS, the City of Cheyenne’s General Fund Reserves (Fund Balance) is separated into five categories, including 1) Non-spendable Fund Balance, 2) Restricted Fund Balance, 3) Committed Fund Balance, 4) Assigned Fund Balance and 5) Unassigned Fund Balance as defined in GASB Statement 54; and

WHEREAS, the Committed Fund Balance category is defined as resources that are constrained to specific purposes by a formal action such as a resolution or ordinance of the Governing Body that also requires formal action at the same level or higher to remove the commitment; and

WHEREAS, on July 22, 2019, the City of Cheyenne Governing Body approved the Land Purchase and Sale Agreement between the City of Cheyenne and Victory Real Estate Management LLC for the purchase of real property described as a portion of Lot 1, Block 1, P.A.S. Subdivision, City of Cheyenne, Laramie County, Wyoming, for economic development purposes and committed the use of \$329,630.00 of General Fund Reserves; and

WHEREAS, as the purchase did not occur, the committed General Fund Reserves in the amount of \$329,630.00 can now be uncommitted and become part of the City’s Unassigned Fund Balance to be used for other purposes; and

NOW, THEREFORE BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that \$329,630.00, previously committed on July 22, 2019, is now uncommitted from General Fund reserves.

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PRESENTED, READ AND ADOPTED this _____ day of _____, 2022.

Patrick J. Collins, Mayor

(SEAL)
Attest:

Kristina F. Jones, City Clerk